

D023

School Financial Leadership

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word _____	The one fact that decides _____	Answer _____	[] sure [] unsure [] guess
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Items

1.

A new principal at a school with a well-known robotics program hears a parent say, “The federal government pays for most of our school.” The district’s budget is posted on its website. Which statement is generally accurate for U.S. public schools?

- A.** State and local sources provide most revenue; federal funds are a smaller share, mostly for specific purposes.
- B.** Local property taxes are the only source.
- C.** Federal funds provide most revenue.
- D.** Robotics grants provide most revenue.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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2.

A district facing a tight year, which was praised by the state for transparency, has always paid for a reading teacher at an elementary school from local funds. The business office proposes moving that salary to the Title I grant to free up local money. Nothing else changes. What is the problem?

- A.** It supplants: federal funds would replace a cost the district already paid, rather than add services.
- B.** The problem is that Title I can never pay for staff.
- C.** It is allowed because the district is transparent.
- D.** There is no problem, since the teacher serves Title I students.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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3. [TRANSFER — reversed stem / different variable]

Which use of Title I funds is most likely to meet the supplement-not-supplant rule?

- A.** Paying the existing teacher salaries at the school.
- B.** Hiring an additional reading interventionist the district would not otherwise fund.
- C.** Paying for the core reading textbooks every school receives.
- D.** Any purchase is fine as long as it helps students.

Target word _____	The one fact that decides _____	Answer ___	[] sure [] unsure [] guess
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4.

A middle school with a new gym floor has \$18,000 left in a state grant restricted to STEM equipment. The heating system needs a \$12,000 repair, and the facilities manager has 20 years of experience. Can the principal use the grant money for the repair?

- A. Yes, because the balance is larger than the repair cost.
- B. No; restricted STEM funds may be used only for STEM equipment.
- C. Yes, if the experienced facilities manager approves.
- D. Yes, because heating affects learning in every class.

Target word _____	The one fact that decides _____	Answer ____	☐ sure ☐ unsure ☐ guess
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5.

A superintendent new to a district with a growing population asks every principal to build next year's budget by justifying each expense from scratch, rather than starting with last year's amounts. The district serves 12 schools. What budgeting approach is this?

- A. Program budgeting.
- B. Zero-based budgeting.
- C. Incremental budgeting.
- D. Line-item budgeting.

Target word _____	The one fact that decides _____	Answer ____	☐ sure ☐ unsure ☐ guess
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6.

School A, with a new library, spends \$6,300,000 for 700 students. School B spends \$8,400,000 for 1,050 students and has a larger staff. Which school spends more per pupil, and how much?

- A. School A, \$9,000 per pupil vs. \$8,000.
- B. They are equal, since both have adequate staff.
- C. School B, because its total is higher.
- D. School B, \$12,000 per pupil.

Target word _____	The one fact that decides _____	Answer ____	☐ sure ☐ unsure ☐ guess
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7. [TRANSFER — reversed stem / different variable]

A school spends \$10,500 per pupil and enrolls 480 students. What are its total expenditures?

- A.** \$10,980
- B.** \$21.88
- C.** \$504,000
- D.** \$5,040,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A district that recently redrew its attendance zones uses a base allocation of \$5,000 per student and a weight of 1.2 for each English learner. A school enrolls 400 students, 100 of whom are English learners. What is the school's allocation?

- A.** \$600,000
- B.** \$2,400,000
- C.** \$2,000,000
- D.** \$2,100,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

A board member argues the fairest plan is to give every school exactly the same amount per student. How does an equity approach respond?

- A.** Equity means giving less to high-need schools.
- B.** Equal dollars per student is the definition of equity.
- C.** Equal dollars are equality; equity directs more resources to students with greater needs so all can reach the same goals.
- D.** Equity means every school gets the same total budget.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

At a high school with a championship basketball team, one long-serving bookkeeper collects all student activity cash, records it, makes the deposits and reconciles the bank statements. She is widely trusted. What should the principal change?

- A.** Have her do the reconciliation twice.
- B.** Stop collecting cash at games entirely.
- C.** Split the duties so different people collect, record, deposit and reconcile.
- D.** Nothing, because she is trusted.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

In March, a principal at a school known for its music program checks the \$50,000 instructional supplies line. \$30,000 has been spent, and purchase orders totaling \$12,000 are open. A vendor is offering a spring discount. How much is still available to spend?

- A.** \$32,000
- B.** \$38,000
- C.** \$20,000
- D.** \$8,000

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A budget line shows \$4,500 available. \$22,000 has been spent and \$3,500 is encumbered. What was the original budget for the line?

- A.** \$14,000
- B.** \$25,500
- C.** \$30,000
- D.** \$26,500

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer A Concept 1

A new principal at a school ~~with a well known robotics program~~ hears a parent say, "The federal government pays for most of our school." ~~The district's budget is posted on its website.~~ Which statement is generally accurate for U.S. public schools?

Target word: main funding sources **Decides:** State and local sources provide most revenue.

A	Correct	Federal funding typically makes up roughly a tenth or less of revenue.
B	Absolute language	State aid is also a major source.
C	Inverted operation	Flips the relative shares.
D	Camouflage	Program grants are small and specific.

2. Answer A Concept 2

A district facing a tight year, ~~which was praised by the state for transparency,~~ has always paid for a reading teacher at an elementary school from local funds. The business office proposes moving that salary to the Title I grant to free up local money. Nothing else changes. What is the problem?

Target word: compliance problem **Decides:** The position was already locally funded; shifting it replaces local money.

A	Correct	Title I must supplement, not supplant.
B	Absolute language	Title I can fund added staff.
C	Camouflage	Transparency does not waive the rule.
D	Dropped element	Leaves out whether the funds add to existing services.

3. Answer B Concept 2 • transfer

Which use of Title I funds is most likely to meet the supplement-not-supplant rule?

Target word: a compliant use **Decides:** It adds services beyond what state and local funds provide.

A	Adjacent category	Replaces base funding.
B	Correct	Adds to existing services.
C	Inverted operation	Replaces a cost the district must already cover.
D	Absolute language	Helpfulness does not meet the legal test.

4. Answer B Concept 3

A middle school ~~with a new gym floor~~ has \$18,000 left in a state grant restricted to STEM equipment. The heating system needs a \$12,000 repair, ~~and the facilities manager has 20 years of experience.~~ Can the principal use the grant money for the repair?

Target word: use of restricted funds **Decides:** Restricted funds may be spent only on their purpose.

A	Wrong stem number	Having enough money does not change the restriction.
B	Correct	Restricted funds carry purpose limits.
C	Camouflage	No staff member can waive a grant's terms.
D	Adjacent category	A broad benefit does not make it the grant's purpose.

5. Answer B Concept 4

A superintendent ~~new to a district with a growing population~~ asks every principal to build next year's budget by justifying each expense from scratch, rather than starting with last year's amounts. ~~The district serves 12 schools.~~ What budgeting approach is this?

Target word: name the approach **Decides:** Every expense justified from zero.

A	Confusion set	That groups costs by program.
B	Correct	Each line must be justified anew.
C	Inverted operation	Incremental budgeting starts from last year's amounts.
D	Confusion set	That describes how spending is listed, not how it is justified.

6. Answer A Concept 5

School A, ~~with a new library,~~ spends \$6,300,000 for 700 students. School B spends \$8,400,000 for 1,050 students ~~and has a larger staff.~~ Which school spends more per pupil, and how much?

Target word: per-pupil comparison **Decides:** Divide spending by enrollment.

A	Correct	$\$6.3\text{M} \div 700 = \$9,000$; $\$8.4\text{M} \div 1,050 = \$8,000$.
B	Camouflage	Staffing does not decide per-pupil spending.
C	Dropped element	Ignores enrollment.
D	Inverted operation	Divides B's total by A's enrollment: $\$8.4\text{M} \div 700$.

7. Answer D Concept 5 • transfer

A school spends \$10,500 per pupil and enrolls 480 students. What are its total expenditures?

Target word: solve for total **Decides:** Total = per-pupil $\times$ enrollment.

A	Adjacent category	Adds the two numbers.
B	Inverted operation	Divides per-pupil spending by enrollment.
C	Wrong stem number	Off by a factor of ten: uses 48 students.
D	Correct	$\$10,500 \times 480 = \$5,040,000$.

8. Answer D Concept 6

A district ~~that recently redrew its attendance zones~~ uses a base allocation of \$5,000 per student and a weight of 1.2 for each English learner. A school enrolls 400 students, 100 of whom are English learners. What is the school's allocation?

Target word: weighted allocation **Decides:** Weighted count = $300 + 100 \times 1.2 = 420$.

A	Wrong stem number	Only the English learners' weighted amount, $100 \times 1.2 \times \$5,000$.
B	Inverted operation	Applies the 1.2 weight to all 400 students (480 units), not only English learners.
C	Dropped element	$400 \times \$5,000$ leaves out the weight.
D	Correct	$420 \text{ weighted students} \times \$5,000$.

9. Answer C Concept 6 • transfer

A board member argues the fairest plan is to give every school exactly the same amount per student. How does an equity approach respond?

Target word: equity vs. equality **Decides:** Equity matches resources to need.

A	Inverted operation	Reverses the direction of weighting.
B	Confusion set	That is equality.
C	Correct	Equity is about outcomes and need.
D	Adjacent category	Ignores both enrollment and need.

10. Answer C Concept 7

At a high school ~~with a championship basketball team~~, one long-serving bookkeeper collects all student activity cash, records it, makes the deposits and reconciles the bank statements. ~~She is widely trusted.~~ What should the principal change?

Target word: control weakness **Decides:** One person handles every step.

A	Adjacent category	Repetition by the same person is not a control.
B	Absolute language	Proper controls let cash handling continue safely.
C	Correct	Segregation of duties prevents and detects errors and fraud.
D	Camouflage	Controls protect everyone regardless of trust.

11. Answer D Concept 8

In March, a principal at a school ~~known for its music program~~ checks the \$50,000 instructional supplies line. \$30,000 has been spent, and purchase orders totaling \$12,000 are open. ~~A vendor is offering a spring discount.~~ How much is still available to spend?

Target word: available balance **Decides:** Subtract spending and encumbrances.

A	Inverted operation	Adds the purchase orders back instead of subtracting them.
B	Wrong stem number	\$50,000 – \$12,000 leaves out the amount already spent.
C	Dropped element	Leaves out the \$12,000 in open purchase orders.
D	Correct	$\$50,000 - \$30,000 - \$12,000 = \$8,000$.

12. Answer C Concept 8 • transfer

A budget line shows \$4,500 available. \$22,000 has been spent and \$3,500 is encumbered. What was the original budget for the line?

Target word: solve for the budget **Decides:** Budget = spent + encumbered + available.

A	Inverted operation	Subtracts the encumbrance and available amount instead of adding them.
B	Dropped element	Leaves out the available balance.
C	Correct	$\$22,000 + \$3,500 + \$4,500 = \$30,000$.
D	Dropped element	Leaves out the encumbrance.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	6	
Wrong stem number	A figure copied from the prompt that is not the answer.	4	
Adjacent category	The right idea in the wrong bucket.	5	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	9	
Absolute language	Always, never, guarantee — where judgment applies.	4	
Confusion set	Every option is real; the test is exact role-matching.	3	
Camouflage	Answers a stem fact that was never the question.	5	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Sources of school funding	Most PK-12 revenue comes from state and local sources (state aid formulas and local property taxes); federal funds are a smaller share and are mostly categorical, tied to specific purposes.	Assuming the federal government is the main funder of schools.	A question about where revenue comes from or why districts differ.
2	Supplement, not supplant	Federal categorical funds such as Title I must add to what state and local funds would otherwise provide; they may not replace services the district would have paid for anyway.	Using federal money to pay for something the district already funds or is required to provide.	Moving an existing cost onto a federal grant.
3	Restricted vs. general funds	Restricted (categorical) funds may be spent only on their stated purpose; general funds cover a school's broad operating needs.	Treating any balance on the books as available for any need.	A grant or earmarked fund and an unrelated expense.
4	Types of budgets	A line-item budget lists spending by object (salaries, supplies); a program budget groups costs by program or goal; zero-based budgeting justifies every expense from zero each year; site-based budgeting gives the school a say in allocating its funds.	Mixing up zero-based with "last year plus a percentage" (incremental).	How a budget is built or organized.
5	Per-pupil expenditure	Per-pupil expenditure = total expenditures ÷ number of students; use it to compare spending across schools of different size.	Comparing total budgets without adjusting for enrollment.	Two schools of different sizes and their total spending.
6	Weighted funding for equity	Weighted formulas give extra funding for students with greater needs (for example, English learners or students in poverty) by counting each such student as more than one unit; equity means resources matched to need, not identical amounts.	Equating equity with giving every student the same dollars.	A base amount, weights, and counts of students with added needs.
7	Internal controls: segregation of duties	No one person should handle every step of a money transaction; collecting, recording, depositing and reconciling are split among different people.	Letting one trusted person collect, deposit and reconcile all activity funds.	Student activity or cash funds and who handles them.

#	Concept	Rule	Trap	Tell
8	Encumbrances and available balance	Available balance = budgeted amount – amounts already spent – encumbrances (money committed by purchase orders not yet paid).	Treating unspent money as available while ignoring open purchase orders.	A budget line, spending to date, and outstanding purchase orders.

Course scope (public description): School Financial Leadership focuses on financial policies, practices, and issues connected to PK-12 school operations. The course describes various sources of school funding, the impact these sources can have on managing school budgets, and the challenges connected to finances that are often encountered by school leaders to ensure equitable financial support for all students. Candidates learn how to analyze different types of school budgets and understand the principal's role in the budgetary process to ensure alignment to the school's mission, vision, and values. This course also identifies and explains various types of commonly used accounting regulations, rules, and professional ethical principles used to create, maintain, and evaluate school budgets to ensure the equitable and ethical use of financial resources. This course is designed to be taken after successful completion of D017: School Law.